

SavePredictedExams — SME

Economics

Higher level / Standard level

Paper 2

SME Predicted Paper Set — Hard

1 hour 45 minutes

Instructions to candidates

- Do not open this paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Answer **one** question.
- Use fully labelled diagrams and references to the text/data where appropriate.
- The maximum mark for this examination paper is **[40 marks]**.

Answer one question.

1. Read the extracts and answer the questions that follow.

Text A — Argentina's Macroeconomic Crisis

1. Argentina has experienced repeated macroeconomic crises over recent decades. In 2023 annual inflation exceeded **140%**, one of the highest rates in the world. Real GDP has stagnated, and the country entered another recession.
2. The Argentine peso has depreciated sharply, from 20 pesos per US dollar in 2018 to over 800 pesos per US dollar in late 2023 in the official market. Parallel exchange rates were even higher.
3. The government has run persistent **budget deficits**, often financed by borrowing from the central bank. This has contributed to rapid growth in the money supply, driving demand-pull and cost-push inflation simultaneously.
4. Argentina is a major exporter of soybeans, beef and wheat. To raise revenue and protect domestic consumers from global food prices, the government has imposed export taxes on key agricultural commodities at rates up to 33%.
5. High inflation has eroded living standards. Official poverty rates reached 40% in mid-2023. Workers are seeking larger wage increases to compensate, but nominal wages have failed to keep up with inflation.
6. In late 2023 the new administration announced a shock-therapy stabilisation package: a large devaluation, deep cuts to public spending, removal of some price controls, and plans to dollarise the economy.

Text B — International Linkages and the IMF Programme

1. Argentina is the largest debtor of the International Monetary Fund (IMF), owing more than \$45 billion under a multi-year stand-by arrangement. IMF programmes usually require fiscal consolidation, monetary tightening and structural reforms in exchange for financial support.
2. Critics argue that IMF conditions worsen recession and hurt the poor. Supporters argue that without external financing Argentina would default, losing further access to international capital markets.
3. Argentina has a persistent **current account** deficit. Despite strong agricultural exports, imports of energy, machinery and consumer goods exceed export receipts. Net primary income flows out of the country to service external debt.
4. The central bank has imposed capital controls and multiple exchange rates. These distortions have encouraged smuggling, informal markets and a large black-market premium on US dollars.
5. High inflation discourages long-term investment and complicates business planning. Foreign investors cite macroeconomic instability as the principal barrier to investing in Argentina.

Table 1: Argentina — selected indicators

Year	CPI Inflation (%)	Real GDP growth (%)	Budget balance (% GDP)	Poverty rate (%)
2019	53.8	-2.0	-3.8	35.5
2020	36.1	-9.9	-8.5	42.0
2021	50.9	10.4	-4.5	37.3
2022	94.8	5.2	-3.8	39.2
2023	143.0	-1.6	-4.2	40.1

Question 1 continued

- (a) (i) Define the term **inflation** indicated in bold in the text (Text A, Paragraph 1). **[2]**
- (a) (ii) Define the term **current account** indicated in bold in the text (Text B, Paragraph 3). **[2]**
- (b) (i) Using Table 1, calculate the change in Argentina's inflation rate in percentage points between 2019 and 2023. **[2]**
- (b) (ii) Using information from Text A, Paragraph 2, calculate the percentage depreciation of the Argentine peso against the US dollar between 2018 and late 2023. **[3]**
- (c) Using an AD/AS diagram, explain how persistent budget deficits financed by the central bank (Text A, Paragraph 3) can cause demand-pull inflation. **[4]**
- (d) Using an exchange rate diagram, explain how the sharp devaluation announced by the new administration (Text A, Paragraph 6) may affect the current account balance. **[4]**
- (e) Using a diagram, explain how export taxes on soybeans (Text A, Paragraph 4) may affect Argentine soybean producers. **[4]**
- (f) Using an AD/AS diagram, explain how the IMF-required fiscal consolidation (Text B, Paragraph 2) may affect output and employment in Argentina. **[4]**
- (g) Using information from the text/data and your knowledge of economics, evaluate the view that a shock-therapy stabilisation package is the most effective strategy to tackle Argentina's macroeconomic crisis. **[15]**

2. Read the extracts and answer the questions that follow.

Text A — India's Growth Story

1. India has become the world's fifth largest economy, with **nominal GDP** of about \$3.7 trillion in 2023. Real GDP growth averaged 6.5% per year between 2015 and 2019 and is expected to continue at 6–7% over the medium term.
2. Services account for more than 50% of GDP, led by IT, software and business process outsourcing. Manufacturing contributes around 17% of GDP. The government's 'Make in India' programme aims to raise this share to 25% through production-linked incentives, infrastructure investment and tariff protection.
3. Roughly 250 million Indians live in multidimensional poverty, though this has declined rapidly since 2005. Public programmes deliver subsidised food grains, cooking gas, and sanitation to low-income households.
4. India is energy-import-dependent: around 85% of its crude-oil needs are met by imports. The Russia–Ukraine war pushed up oil prices and widened the trade deficit.
5. The Reserve Bank of India (RBI) operates an **inflation targeting** framework, aiming to keep CPI inflation within $4\% \pm 2\%$. Inflation exceeded 7% in 2022, prompting several policy rate rises.

Text B — India and Global Trade

1. India runs a large trade deficit of around \$240 billion in 2022–23, partly offset by surpluses in services trade and inflows of remittances from Indians working abroad.
2. India has been cautious about signing free-trade agreements. It withdrew from the Regional Comprehensive Economic Partnership (RCEP) in 2019, fearing the impact on domestic manufacturers, farmers and dairy producers. Critics argue this shuts India out of major regional value chains.
3. India maintains tariffs on a range of imports, in some cases exceeding those of its trading partners. Supporters see this as **protectionism** to nurture infant industries, while critics warn it raises costs for consumers and domestic producers using imported inputs.
4. India has become a preferred destination for firms diversifying away from China, particularly in smartphone assembly and pharmaceuticals. Apple now produces a rising share of iPhones in India.
5. The rupee is allowed to float, although the RBI intervenes to smooth large fluctuations. The rupee depreciated by about 10% against the US dollar during 2022.

Table 2: India — selected indicators (2022–23)

Indicator	Value
Population	1,420 million
Nominal GDP	US\$ 3,700 billion
Real GDP growth	7.2%
CPI inflation	6.7%
Unemployment	7.3%
Current account deficit	-US\$ 67 billion
Remittances received	US\$ 111 billion

Exchange rate (INR/US\$)	82.7
--------------------------	------

Question 2 continued

- (a) (i) Define the term **nominal GDP** indicated in bold in the text (Text A, Paragraph 1). **[2]**
- (a) (ii) Define the term **protectionism** indicated in bold in the text (Text B, Paragraph 3). **[2]**
- (b) (i) Using information from Table 2, calculate India's real GDP per capita in 2022–23 to the nearest US\$. **[3]**
- (b) (ii) Using Table 2, calculate India's current account deficit as a percentage of nominal GDP. **[2]**
- (c) Using an AD/AS diagram, explain how higher global oil prices (Text A, Paragraph 4) could affect India's price level and output. **[4]**
- (d) Using a tariff diagram, explain how tariffs on imports (Text B, Paragraph 3) can protect India's infant industries. **[4]**
- (e) Using an exchange rate diagram, explain how remittance inflows of US\$111 billion (Text B, Paragraph 1) may affect the value of the Indian rupee. **[4]**
- (f) Using a negative consumption externality diagram, explain why the Indian government subsidises cleaner cooking gas (Text A, Paragraph 3) to replace solid fuels used by poor households. **[4]**
- (g) Using information from the text/data and your knowledge of economics, discuss the view that India's cautious approach to free-trade agreements (Text B) is the most effective strategy to achieve long-term economic growth and development. **[15]**